

Northwind Advisory

Annual Methodology Review — 2023

Confidential — partner distribution only

What worked in 2023

- Milestone-based Embed pricing rolled out across 6 engagements. Average margin improvement: 22%.
- Below-3 rule (Diagnostic) prevented two engagements from proceeding to Transformation. Both clients were grateful in retrospect.
- Tessera Capital became reference customer for FinServ. Largest engagement to date at £485k.
- Mosaic Health returned after a 2-year pause. Pattern of returning clients is a signal worth tracking.

What did not work

- Bramble Foods declined Transformation after Diagnostic surfaced governance issues. Client publicly unhappy.
- Vector Robotics paused operations after Discovery. We kept the £25k but the relationship is awkward.
- Internal documentation continues to be the single largest operational risk. Knowledge concentrated in 3 partners. No progress on knowledge engineering project, second year running.

2024 Priorities

1. Knowledge engineering — make the methodology accessible to non-partner staff. Owner: Maya. Budget: £80k.
2. Embed pricing review — case for repositioning Embed as the premium stage rather than the budget cut. Owner: James.
3. Junior partner pipeline — current bench is too thin for two simultaneous Tessera-scale engagements.
4. Annual retrospective format change — move from slide deck to written essay. Slides hide arguments.

Engagement economics — 2023 cohort

Total revenue: £1.42M | Engagements: 7 | Avg fee: £203k

Discovery margin: -8% (loss-leading, by design)

Diagnostic margin: 14%

Transformation margin: 31%

Embed margin: 44% (highest leverage stage)

Conclusion: the firm makes its money on Transformation and Embed. Discovery and Diagnostic are sales infrastructure. The pricing model should reflect that. Discussion item for offsite.